

EXECUTIVE OVERVIEW

RECOBIT: THE AI-POWERED ENTERPRISE RECONCILIATION

Compresses days of manual financial matching into minutes.

85–95%

Reduction in per-account
reconciliation time.

BANK-TO-ERP

Automated ledger updates and
instant book reconciliation.

01 / HYBRID ENGINE

Pairs deterministic rules with semantic AI for absolute accuracy.

02 / MARKET POTENTIAL

Targeting a \$2.5–3.0B global reconciliation software market.

03 / ENTERPRISE IMPACT

Driving a 300–500% projected three-year ROI for enterprises.

Strategic Narrative

This presentation outlines the reconciliation bottleneck, our technical solution, and the resulting enterprise value across seven critical areas:

01 The Opportunity

Sizing the reconciliation automation market

02 Industry Context

Transaction volume growth outpacing manual processes

03 The Problem

Three structural failures in current reconciliation models

04 The Solution

An eight-stage journey from ingestion to ERP posting

05 Competitive Landscape

Legacy cost, rule limitations, and black-box AI

06 Technology & Architecture

Multi-phase matching and four-layer AI stack

07 Business Value

Deployment flexibility, ROI, and stakeholder impact

RECOBIT ENTERPRISE ROADMAP

Real-Time Payments Break Manual Reconciliation

Exponential growth in real-time payments has structurally broken manual reconciliation processes.

As regulatory bodies tighten audit trail requirements, the fragmentation of digital payments creates complex, multi-gateway reconciliation burdens that manual teams cannot sustain.

130B+

FY24 UPI Volume

India's UPI Adoption

Growing at an unprecedented 40-50% year-over-year rate.

\$10T+

By 2030 projection

Global Market Scale

Total real-time transactions will exceed \$10 trillion by 2030.

Market Fragmentation

The Digital Payment & ERP Void

Multi-Gateways

130B+ UPI

Digital Wallets

Critical Bottleneck

Manual Matching structurally breaks under volume scaling

Surging ERP Adoption

Tally Prime SME Sector Dominance

Rapid growth demands automated system ledger sync.



Strict Regulatory Audit Trails Mandated

The Opportunity (TAM, SAM, SOM)

\$2.5–3.0B

Total Addressable Market

Global bank reconciliation and financial close software market.

\$400–700M

Serviceable Addressable Market

Mid-market enterprises processing 500+ monthly transactions across multiple ERPs.

\$25–60M

Serviceable Obtainable Market

Initial capture target focusing on India's Tally Prime ecosystem and adjacent emerging markets.

Assuming standard SaaS pricing and a **5–15%** initial win rate scaling to **20–30%**, this segment offers a **12–15% CAGR** driven by payment volume and compliance mandates.

The 3 Failures



Manual Matching Bottleneck

Consumes **4-8 hours** per account with a **2-5% error rate**, failing completely past a few hundred transactions.



Rule & ERP Limitations

Native tools lack **semantic understanding**, and semi-automated Excel rules break on new formats or consolidated payments.



Enterprise Exclusion & Black-Box AI

Global tools cost **\$50K-\$150K** annually requiring complex VPNs, while black-box AI corrections force entire batch re-runs without transparency.

The Problem (The Pattern)

The Broken Paradigm

No current tool cleanly separates deterministic computation from semantic ambiguity.

Manual & Excel Tools

Force humans to perform mechanical comparison and judgment.

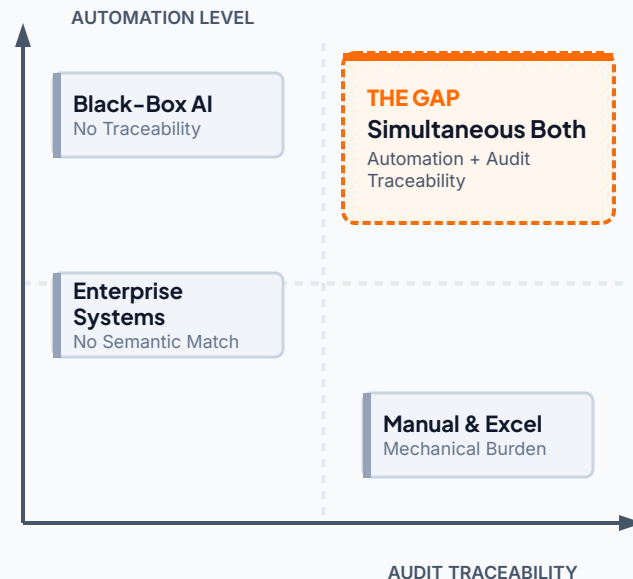
Enterprise Platforms

Handle massive computation but ignore semantic narration matching.

Black-Box AI Systems

Handle both invisibly, destroying critical audit traceability.

Enterprises can achieve automation OR maintain an auditable process, but they almost never secure both simultaneously.



Gated, End-to-End Posting Workflow

01

Stage 1: Bank Statement Ingestion

PDF, scanned image, spreadsheet

02

Stage 2: Transaction Extraction

Hybrid structural parsing and OCR

03

Stage 3: Data Normalization

Universal schema, multi-currency translation

04

Stage 4: ERP Data Retrieval

Daily-chunked sync via local agent

05

Stage 5: Matching Pipeline Execution

Multi-phase waterfall engine

06

Stage 6: Exception Review

AI-assisted human workbench

07

Stage 7: Report Generation

Real-time dashboard and PDF audit export

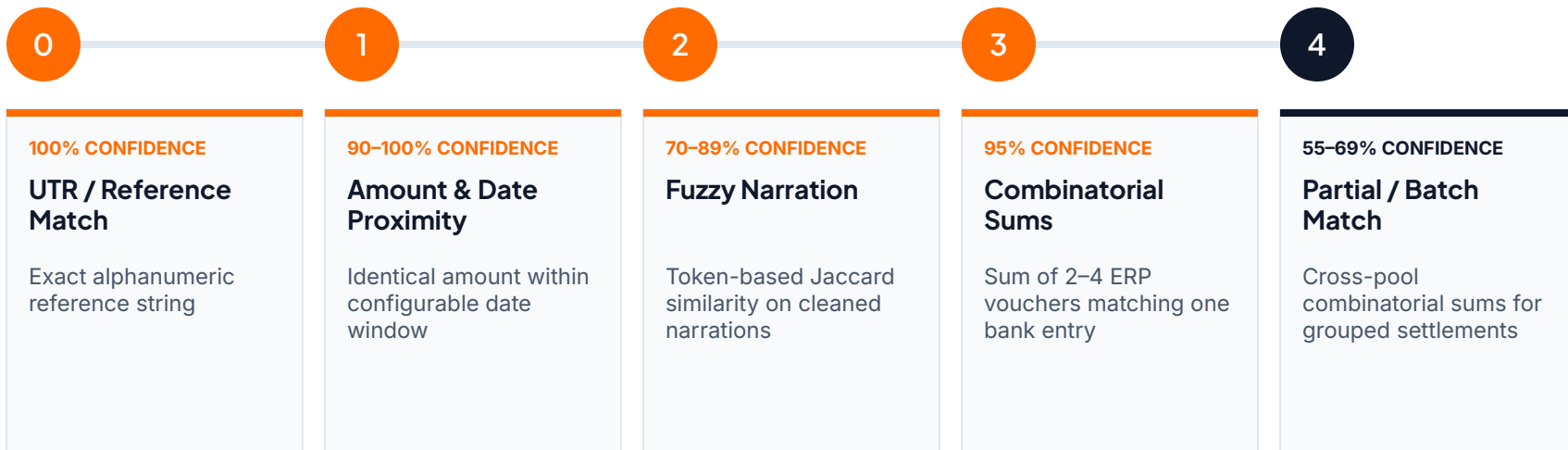
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Stage 8: ERP Posting

Batched voucher push with fault-tolerant fallback

Cascading Matching Pipeline

Our cascading pipeline locks in high-confidence matches instantly and escalates only complex edge cases:



Strictly Ordered Multi-Layer AI Pipeline

01

Vector Similarity

FastEmbed TF-IDF vectors
checking self-learning
historical mappings locally.

02

Fuzzy Matching

RapidFuzz token distance
and Jellyfish phonetic
encoding for spelling
variations.

03

Phonetic Match

Metaphone
transformations grouping
sound-alike vendors and
transliterations.

04

Semantic LLM

Interpreting abbreviations
and bank short codes to
resolve non-obvious entity
gaps.



Active Learning: Every manual resolution permanently updates the mapping cache, reducing future exception volumes.

Three Structural Advantages

RecoBit brings together three structural advantages unmatched in the broader market:



Firewall-Traversing Agent

Outbound-only HTTPS via a Rust tray agent requires zero inbound ports, VPNs, or static IP allowlisting.



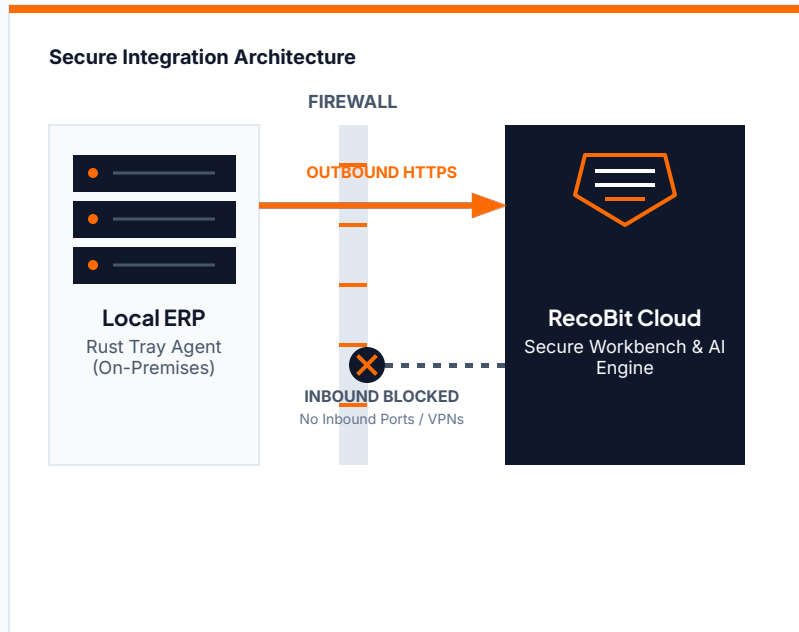
Transparent AI with Human Gate

Every match carries a confidence score and audit-trail entry, with exceptions resolved in a dedicated workbench.



Native ERP Integration

Dynamic XML-over-HTTP API available for Tally Prime today, with a modular connector architecture for SAP, Oracle, Zoho, and Dynamics tomorrow.



Incumbents Fail the Mid-Market

Competitor	Est. Pricing	Core Focus	Mid-Market Limitations & Gaps
BlackLine	\$50K–\$150K+ / yr	Enterprise ERP (SAP/Oracle)	Requires VPNs, specialized consultants; lacks Tally support.
Trintech	\$30K–\$100K+ / yr	Legacy Mid-to-Large Corp	Lacks modern LLM semantic matching and Tally integration.
HighRadius	\$75K+ / yr	Accounts Receivable	Focuses strictly on receivables, not general bank-to-book.
ReconArt	\$15K–\$30K / yr	Standard Reconciliation	Relies on legacy rule engines and manual uploads without ML/LLM.
Sage Intacct	ERP Add-on	Native ERP Recs	Offers only basic amount/date matching without advanced intelligence.

Competitive Landscape

Domestic Alternatives

Domestic alternatives are often single-domain workarounds that fail to scale.

ClearTax

Focuses on GST matching rather than general cash reconciliation, relying on Excel templates.

Razorpay Recon

Limited to gateway payouts, missing full ERP-to-bank scale.

Strategic Positioning

Full Bank-to-Book Lifecycle

We combine a hybrid deterministic and AI engine with offline-capable deployment and a native Tally Prime dynamic API.

Comprehensively solving general enterprise reconciliation.

Robust Multi-Tier Technology Stack

RecoBit is built on a robust, multi-tier enterprise technology stack designed for high-throughput financial workloads:

PRESENTATION

Next.js frontend with Redux Toolkit and Tailwind CSS

APPLICATION

FastAPI asynchronous gateway with JWT stateless authentication

MATCHING ENGINE

Rule-based waterfall, fuzzy/semantic matching, confidence scoring

DATA LAYER

PostgreSQL, SQLAlchemy ORM, Alembic self-healing migrations

BACKGROUND PROC

Celery workers with Redis message brokering for OCR and LLM

INTEGRATION

Memory-safe Rust tray agent communicating via XML-over-HTTP

Guaranteed Performance & Security

Our architecture guarantees sub-5ms search, active learning, and air-gapped security:



Performance: Sub-5ms ledger search across 40,000+ cached entries; batched ERP posting with individual fallback.



Active Learning: Manual resolutions permanently update the AI narration cache, increasing processing speed over time.



Security: TLS in transit, bcrypt password hashing, and multi-tenant data isolation. Cloud agents use outbound-only HTTPS, while local agents bind strictly to loopback, rejecting lateral network access.



Scalability: Horizontal scaling via Celery worker pools.

NETWORK SECURITY POSTURE

Zero Lateral Network Access

Cloud agents use outbound-only HTTPS, while local agents bind strictly to loopback, rejecting lateral network access.

Tailored to Your Risk Posture

RecoBit delivers identical reconciliation capabilities across four deployment models based on enterprise risk posture:



Cloud

Vendor-hosted infrastructure for fast deployment and distributed teams.



Hybrid

Local ERP processing with cloud intelligence via outbound-only HTTPS.

Default for Tally Prime



On-Premises

Full stack on private servers for regulated enterprises requiring sovereign infrastructure.



Offline-First

Standalone Tauri desktop app with local Ollama LLM and SQLite storage for air-gapped defense or public sector use.

RecoBit Delivers Immediate Operational Improvements & Under 1-Year Payback

85–95%

Time Savings Reduction

Drops per-account reconciliation from 4–8 hours to 15–45 minutes.

300–500%

Three-Year ROI

INR 1M–2M total annual savings, unlocking 432–816 manual hours yearly.

Same-Day

Close Acceleration

Month-end close shifts from a 2–3 day delay to same-day completion.

< 0.5%

Error Reduction

Error rates fall from 2–5% to under 0.5%.

Tailored Corporate Value

RecoBit provides tailored value across diverse industries including Manufacturing, Retail, Healthcare, Logistics, and Banking.



CFOs & Management

Gain real-time close visibility and same-day month-end completion.



Accountants

Benefit from sub-5ms ledger searches, standardized audit trails, and AI-suggested exception resolutions.



Treasury Teams

Access reconciled cash positions replacing book-only data for liquidity decisions.



IT Admins

Require zero inbound firewall rules, no VPNs, and no ERP configuration changes for deployment.

Enterprise Finance Governance

Our strategic product evolution expands into comprehensive enterprise finance governance:

01

Phase 01

Governance

Enterprise RBAC: Custom permission levels, entity-level boundaries, and Maker-Checker workflows.

02

Phase 02

Assurance

User Activity Monitoring: Complete behavioral logging for internal compliance forensics.

Integrated Ticket Management: Native workflows for routing and resolving reconciliation exceptions.

03

Phase 03

Intelligence

AI Enterprise Assistant: Natural language interface for querying statuses and anomaly detection.

Advanced Analytics: Predictive close modeling, exception trend forecasting, and cross-entity benchmarking.

The Defensible Window for RecoBit

 *"The structural convergence of payment volume, AI maturity, and mid-market ERP proliferation creates a highly defensible, first-mover window for RecoBit."*

— THE RECOBIT INVESTMENT THESIS

01 / First Mover

Tally Prime Ecosystem

As the first-mover in mid-market AI reconciliation, no established AI-native standard exists for this dominant business ERP space.

02 / Deep Moat

Rust Agent & Engine

Our outbound-only Rust agent and multi-phase AI matching engine serve as a deep technological barrier against legacy rule-based vendors.

03 / Financial ROI

Compelling Economics

Tightening regulatory standards drive a 6-12 month payback while unlocking 432-816 hours of automated capacity annually.

Empowering Enterprise Finance

With AI-Native Reconciliation Intelligence



Deterministic Precision

Combines deterministic precision with semantic AI reasoning to revolutionize bank reconciliation.



Enterprise Security

Firewall-traversing architecture ensures enterprise security without the IT integration burden.



Active Learning Engine

Powered by an active learning engine, system accuracy compounds with every human verification.



Audit-First Design

Built with an audit-first design, immutable trails are integrated into the core, delivering automation and transparency simultaneously.